IOWN

The Morning Brief

APRIL 11, 2026

Islamabad

Weekend Edition — VP Vance opens the highest-level in-person US-Iran engagement since 1979 as March CPI reveals the war's inflationary footprint and bank earnings season begins Monday.

S&P 500 (FRI CLOSE)	BRENT CRUDE (FRI CLOSE)	BITCOIN (LIVE)	MARCH CPI	FEAR & GREED
6,817 ↑3.6% on the week	**~$97 ↓12% on the week**	**~$73,000 ↑ Above $72K**	**3.3% YoY headline · 2.6% core**	**15 · Extreme Fear**

SECTION 01

Markets — Week in Review

THE CEASEFIRE WEEK

The ceasefire rally drove the S&P 500 to a gain of approximately 3.6% on the week, closing Friday at 6,817. The Nasdaq outperformed at +4.7%, led by the semiconductor recovery trade as TSMC's Q1 revenue data confirmed sustained AI chip demand. Energy was the week's clear laggard as Brent crude fell approximately 12% from ~$109 to ~$97 on de-escalation pricing, though physical Hormuz constraints kept prices well above the pre-war ~$72 level. Friday's session faded after March CPI data landed hotter than expected on the headline, with the S&P giving back approximately 0.1% and the Dow falling 0.56% as the inflationary imprint of the energy shock came into focus.

S&P 500	**6,817 · ↑3.6% on the week**
NASDAQ	**↑4.7% on the week · Semi-led**
BRENT CRUDE	**~$97 · ↓12% on the week · Still elevated**
GOLD	**~$4,750 · Dollar weakness · Rate repricing**
BITCOIN (LIVE)	**~$73,000 · Holding above $72K**
FED ODDS	**~98% hold April · One cut max in 2026**

CPI: THE WAR'S INFLATIONARY FOOTPRINT

Friday's March CPI data, released by the BLS, confirmed the energy shock's pass-through into consumer prices: headline inflation surged 0.9% month-over-month and 3.3% year-over-year, above the FactSet consensus of approximately 3.1%. Energy costs rose 10.9% in March, with gasoline alone climbing 21.2% and accounting for nearly three-quarters of the monthly increase, according to BLS data. But the underlying picture was more constructive than the headline suggested: core CPI came in at 2.6% year-over-year, a tenth below consensus, with shelter costs posting a 3.0% annual increase — consistent with a continued cooling trend. The divergence matters for IOWN: if the Fed treats the

headline spike as a transitory energy pass-through — consistent with Chair Powell's prior framing that oil shocks are typically something the central bank looks through — rate-sensitive holdings like NEE, BKH, and ATO could benefit as the energy component fades. CME FedWatch data shows approximately 98% probability of a hold at the April 28–29 FOMC, with markets pricing at most one 25-basis-point cut by year-end.

Headline inflation told the war's story; core inflation told the economy's. The 70-basis-point gap between 3.3% and 2.6% is the analytical distinction that could define Fed policy for the rest of the year — and with it, the trajectory of IOWN's rate-sensitive sleeve. Research Reveals Opportunities.

Geopolitics

ISLAMABAD — THE HIGHEST-LEVEL IN-PERSON ENGAGEMENT SINCE 1979

VP Vance arrived in Islamabad Saturday leading the US delegation — accompanied by special envoy Steve Witkoff and Jared Kushner — for what multiple reports describe as the highest-level in-person US-Iran diplomatic engagement since the fall of the Shah. Iran's delegation, led by Parliament Speaker Mohammad Bagher Ghalibaf and Foreign Minister Abbas Araghchi, set preconditions before substantive talks could begin: an Israeli ceasefire in Lebanon and the release of frozen Iranian assets. Iran's new Supreme Leader Mojtaba Khamenei — who succeeded his father after the opening strikes and has reportedly not appeared publicly since, participating in decision-making via audio due to injuries sustained in the same attack, according to Reuters — adds uncertainty to the Iranian side's decision-making authority. Pakistan's PM Sharif, who brokered the two-week ceasefire, has framed expectations modestly — Pakistani officials described the goal as a deal to keep talks going, and indicated discussions could extend several days, per Reuters. Trump's 15-point proposal — which includes dismantling Iran's nuclear facilities, missile limitations, and full Hormuz reopening in exchange for sanctions removal — was characterized by Iranian officials as largely excessive and unrealistic, according to Reuters. Complicating the diplomatic track: US intelligence indicates China is preparing to deliver air defense systems to Iran, potentially routing shipments through third countries to mask their origin, per CNN and Bloomberg — a provocative development given Beijing's role in supporting the ceasefire. The ceasefire's approximate April 22 expiration provides structural urgency. For IOWN, the outcome of these talks is the single largest near-term variable for the energy, defense, and digital asset sleeves.

LEBANON — THE SCOPE DISPUTE THAT COULD UNRAVEL THE FRAMEWORK

The ceasefire's most dangerous ambiguity remains Lebanon. On the same day the agreement was announced, the Israeli Air Force launched its largest strike wave of the conflict across Beirut, the Bekaa Valley, and southern Lebanon, killing 303 people according to Lebanon's civil defense service. PM Netanyahu has stated explicitly that the Iran ceasefire does not extend to Lebanon — a position the White House has characterized as consistent with Lebanon being a separate theater. Pakistan's PM Sharif, who mediated the agreement, publicly disagrees. In a potentially significant development, Israel and Lebanon have reportedly agreed to hold direct ceasefire talks at the ambassador level — which, if the reports prove accurate, would represent the first such direct engagement in decades, per Reuters. The risk for IOWN is direct: if Iran characterizes continued Israeli operations in Lebanon as ceasefire violations, the Islamabad framework could narrow before producing results. IOWN's defense holdings (LMT, GD) may continue to reflect the unresolved nature of the broader conflict even as equity markets price diplomatic optimism.

HORMUZ — STILL CLOSED, AND THE BYPASS IS DAMAGED

Despite the ceasefire, the Strait of Hormuz remains effectively closed. Only a trickle of vessels has transited versus the pre-war average of over 100 per day. More than 600 ships, including approximately 325 tankers, remain stranded in the Gulf, according to Bloomberg. Iran maintains operational control through its crypto-based toll system, requiring vessels to request clearance and pay fees through a five-tier nationality ranking — with US- and

Israel-linked vessels denied entirely. Iran has also released maps indicating designated shipping lanes, which maritime analysts interpret as evidence of possible mining, per Bloomberg. A critical disclosure this week: Saudi Arabia confirmed that Iranian strikes damaged the East-West pipeline, removing approximately 700,000 barrels per day of capacity — roughly 10% of Saudi export volume, according to Saudi officials. This pipeline served as the primary bypass route around Hormuz, meaning the region's export infrastructure is structurally impaired even in a full reopening scenario. Goldman Sachs has outlined three scenarios: a base case of gradual reopening over one month could bring Brent to approximately $82 in Q3; an extended closure scenario could keep Brent above $100 for all of 2026; a severe scenario could push prices to $115–$120. For IOWN's energy sleeve, the physical damage ensures CVX, VLO, and OKE operate in an elevated-price environment regardless of the diplomatic outcome. **The physical world matters.**

ISLAMABAD TALKS	**Vance delegation arrived Sat · Indirect format · May extend days**
LEBANON	**303 killed April 8 · Scope dispute unresolved**
HORMUZ	**600+ ships stranded · Crypto tolls · Effectively closed**
SAUDI PIPELINE	**East-West –700K bpd · Bypass route impaired**
CHINA-IRAN INTEL	**US intel: China preparing MANPAD shipment to Iran (CNN)**
RUSSIAN OIL WAIVER	**Bessent & Trump agreed to extend · Expires today**

SECTION 03

On Our Radar

1. Bank earnings season begins Monday — the first major read on war-era credit conditions. Goldman Sachs reports Monday before the open, followed by JPMorgan, Citigroup, and Wells Fargo on Tuesday, and Bank of America on Wednesday. This is the first comprehensive read on how the conflict has affected credit quality, trading revenue, and corporate M&A pipeline health. Elevated energy prices may have boosted commodity trading desks while simultaneously pressuring consumer credit metrics. IOWN does not hold bank stocks directly, but the earnings will provide critical signal on the consumer and corporate credit environment that underpins holdings across both sleeves. Research Reveals Opportunities.

2. Islamabad outcomes are Monday's dominant risk variable. If the weekend talks produce a framework for extending the ceasefire beyond its approximate April 22 expiration, the relief rally could resume. If Iran's preconditions — a Lebanon ceasefire and unfrozen assets — prove non-negotiable before substantive discussion begins, markets could give back a portion of the week's 3.6% gain. The enrichment impasse — Iran demands the right to enrich, the US insists on dismantlement — remains the structural obstacle to a comprehensive deal. The China weapons intelligence adds a layer of distrust that could complicate the diplomatic track. IOWN's construction is designed for both outcomes. Avoid Erosion.

3. Week Ahead: PPI Tuesday, TSMC Thursday, Goolsbee Tuesday. March PPI arrives Tuesday at 8:30 AM ET — a producer-level read on the energy cost pass-through that will complement Friday's CPI. March Retail Sales has been rescheduled to April 21. TSMC reports Thursday with revenue guidance of $34.6–$35.8 billion (+38% YoY expected) — a critical read for IOWN's semiconductor exposure across TSM, LRCX, AMD, NVDA, and NXPI. Chicago Fed's Goolsbee speaks Tuesday at the Semafor World Economy conference, offering the first significant Fed commentary since Friday's CPI print. Think Like an Owner.

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